

Think of your financial life as a money box. The money box fills in your working—earning years with income; you use the money to pay for living costs, fees, rent, EMIs (equated monthly instalments), taxes, insurances and vacations, and a whole long list of what it takes to live the Indian urban mass affluent life. Usually the box shows a surplus left behind at the bottom each month.

This gets invested for future use. Along the way you dip into your money box to pay for your kids' higher education, their marriages, and then finally when you get too old to earn (we all get there – just look at your grandparents or parents), the box begins to fill with pensions and other investment income like interest, dividend and profit.

The mistake most people make, and we are not to blame, is to think of the money box only as a container of investment products. We start thinking about what to invest in – should I buy a plot of land, or should I buy shares, or should I invest in that pension plan – to solve our money worry. But 'what to invest in' is not the first decision we should take – a mistake that we all make, pushed as we are by a sales commission—driven insurance industry or a next-new-thing—driven mutual fund industry.

So, how should we think about our money box? A good money box is one that allows you to streamline your cash flows. It builds in safety nets for preserving your savings in the face of an emergency – typically a medical emergency, a job loss, or death of a salary-earning family member.

Insurances have a purpose in a money box. We'll understand what that purpose is. No, it is not wealth creation. Product choice becomes much easier if you understand *why* you need that product in the first place. Then, finally, we come to investing and understand what suits us and how to build our portfolio.

The book is about helping you construct this box by understanding your own needs and situation. It is not a get-rich-quick book. The goal is to make you feel more confident about your money life, but in a system that allows you to be hands-free for most of the year, needing to open the box no more than twice a year.

The by-product of this exercise is that you will actually be able to fund all the things and save for goals that are important to you. This is not easy work